

In many cases, hope is also closely attached to pride. Many traders don't like to admit that they have done a wrong thing (especially in public), which has damaged their capital.

How to Improve Trading Psychology

Mastering our emotions in intraday trading is a never-ending battle. But the basic framework for handling these emotions is quite simple.

1. Pick an intraday trading strategy that has a positive edge and clearly defined rules. Execute it again and again with strict money management rules.
2. Always remember, our emotions run wild when we allow it to dominate our thought processes. So, meditation every day for 30 minutes helps to reduce the impact of these emotions.
3. Log all the trades in a trading journal and study your trades on the weekend. Focus more on the losing trades. Analyse whether these losses resulted from following the trade plan or from breaking the rules? If you can see a pattern of mistakes, it is good, and you can avoid that pattern consciously in the live market.

Algo Trading

My friend whom I met in the Vipassana program faced many challenges in day trading. He is pretty intelligent and developed many trading strategies. However, he faced emotional issues with executing the trades as per the system in the live market.

Hence, he started learning algo trading and coded and deployed his own system via algo. He didn't discontinue his system after seeing some drawdown, and he continued to take trades as per the system, applying the money management rules.

After a few months, the results were visible, and his algo system gave good returns. Now he has deployed several trading strategies and is enjoying his